SCENARIO	LEGACY FMCG COMPANIES
Strategy	Initiate price war against newcomers to maintain market share
Tactics	• Lower prices below newcomers' prices • Willingness to sustain losses temporarily to drive out competitors
Advantage	High liquidity enables prolonged price wars and loss-making tactics
Impact	• May deter newcomers from entering the market • Allows legacy companies to maintain dominance

Companies with great pricing power can utilise their advantage by setting higher prices. If a company's product is seen as very useful, and valuable or provides high social status, the target audience would consider the product's high price justified by its standout qualities.

COST

Broadly, there are two types of costs, variable and fixed.

FIXED COST

Fixed costs are the expenses of a company that do not depend on how much they produce.

If a company's scale of operations is way bigger than its competitors, then its fixed cost per unit will be smaller than that of its competitors.

VARIABLE COST

Variable costs increase with a higher volume of production.

A very simple example of this would again be the Chinese industry that can operate at low cost due to the huge scale of production.